

The Commodities Feed: Oil steadies as Iran deadline pushed back but upside risks persist

Oil prices steadied after President Trump extended the deadline for an Iran energy deal to 6 April, easing near term pressure but leaving the geopolitical premium intact, with significant supply still at risk



President Trump said Tehran had requested a seven-day extension but that he opted for 10 days, setting a new deadline for 6 April

Energy – Oil steadies as Iran deadline is pushed back

Oil prices steadied after US President Donald Trump again pushed back the deadline for striking Iran's energy. Trump said Tehran had requested a seven day extension, but he opted for 10 days, setting a new deadline of April 6.

Brent was trading around \$108 a barrel while West Texas Intermediate was near \$94 on Friday morning.

Extending the ceasefire takes some near-term heat out of the market, but risks still lean to the upside. The scale of supply at risk remains significant – around 8 million barrels per day are already offline, and a much larger volume of flows through the Gulf remains vulnerable – so the geopolitical premium is unlikely to fade meaningfully.

Thursday saw another volatile session in the oil market; prices rose following conflicting signals from Washington and Tehran. President Trump said he didn't know if the US is "willing" to work with Iran on a deal, shortly after the US warned of potential threats from Iran based Houthi militants in the Bab el Mandeb Strait. Prices had briefly pared gains after reports that Iran had responded to a US backed 15 point peace proposal via intermediaries, though Tehran has previously rejected US outreach and continues to push its own conditions, including proposals to formalise transit fees for the Strait of Hormuz, with lawmakers working on a draft bill to impose a toll in exchange for providing security to ships via the key waterway.

With both sides continuing attacks and the US reportedly reinforcing its military presence in the region, concerns over supply disruptions remain elevated.

Meanwhile, Iran permitted Malaysian vessels trapped in the Gulf to return home through the strait, Malaysia's Prime Minister Anwar Ibrahim said on Thursday evening.

Trump also said on Thursday that Iran had allowed 10 oil tankers to sail through the strait as a goodwill gesture. An insurance programme meant to boost shipping through the strait would also begin soon, says US Treasury Secretary Scott Bessent.

For the LNG market, supply risks have intensified after a tropical cyclone forced production cuts at three Australian LNG plants, together accounting for around 8% of global supply. The disruptions come on top of earlier shocks from the closure of the Strait of Hormuz and the shutdown of Qatar's largest liquefaction facility following attacks, further tightening an already strained market and increasing price pressure for Asian buyers.

In Europe, ARA refined product inventories fell by 115kt week-on-week to 5.3mt in the week to 26 March, according to Insights Global, driven by declines in gasoline (75kt), naphtha (45kt) and fuel oil (13kt). Gasoil stocks rose by 57kt to 2.15mt, though middle distillate cracks remain well-supported amid ongoing uncertainty, with the ICE gasoil crack holding above \$50/bbl this morning.

Singapore refined product inventories rose sharply by 2.2mb WoW to 52mb – the highest level since December 2024 – led by builds in middle distillates (+1.23mb) and light distillates (+0.5mb). Residual fuel stocks also increased by 471kb to 24.5mb over the week.

US natural gas prices extended gains, with front month Henry Hub futures approaching \$3/MMBtu, after storage draws exceeded expectations. EIA data showed inventories fell by 54Bcf last week, well above the five year average draw of 21Bcf, leaving stocks at 1.829Tcf – just 0.8% above the seasonal average.

Metals – Iran war keeps metals on edge

Copper climbed on Friday and was on track for its first weekly gain this month after President Trump extended the deadline for Iran to strike a deal, lifting hopes of de escalation and supporting growth sentiment.

Most industrial metals have fallen this month as uncertainty around US-Iran negotiations and the prolonged conflict – now approaching a one-month mark – keeps risk sentiment fragile.

Heightened geopolitical tensions have raised concerns about inflation while also reinforcing fears of slowing industrial activity globally, weighing on demand expectations. Against this backdrop, copper prices have fallen around 7% so far this month, reflecting a broader reassessment of

growth-linked exposure across the base metals complex.

Meanwhile, aluminium prices remain supported, with [supply risks](#) from a sustained Strait of Hormuz closure – already prompting production curbs – offsetting concerns over weaker demand.

In other base metals, zinc prices rose around 1% on Thursday after larger than expected supply disruptions at Boliden's Garpenberg mine in Sweden. The company said it will run the mine at 30% capacity until further notice, following a period of abnormally high seismic activity.

In precious metals, Turkey's central bank sold and swapped around 60 tonnes of gold, worth over \$8bn, in the two weeks following the start of the Iran war, with reserves falling by six tonnes in the week to 13 March and a further 52.4 tonnes the following week. While some gold was sold outright, the bulk was used in swap transactions to secure foreign currency or lira liquidity, according to Bloomberg, marking a sharp reversal for one of the world's most aggressive gold buyers over the past decade.

Official sector buying has been a central pillar of gold's rally over the past couple of years.

Since the war began, gold has fallen more than 15%, moving largely inversely with oil prices as rising energy costs have lifted inflation expectations and pushed markets to price in a higher for longer rates outlook. This dynamic has limited gold's ability to act as a geopolitical hedge, with firmer real yields and a resilient US dollar offsetting safe haven demand.

Agriculture - US crop plantings estimate

The USDA will release its prospective plantings report next week, with a Bloomberg survey pointing to US corn acreage of 94.5m acres in 2026, slightly above the prior estimate but still 4.4% below last season. Corn plantings are expected to decline as farmers shift towards soybeans following ample supplies from the record 2025 harvest. Soybean acreage is seen rising to 85.5m acres, up from 81.2m acres last year, despite ongoing trade tensions with China and strong competition from Brazil. Wheat plantings are projected to edge lower to 44.7m acres, down from last year's 45.3m acres.

Meanwhile, cocoa supply risks are rising in the Ivory Coast after a farmers' group threatened to halt bean deliveries to ports from 1 April unless unsold stockpiles are cleared. Farmers are holding around 60kt of beans, while total main crop stocks are estimated at roughly 200kt – a backdrop that could continue to support cocoa prices.

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